WARRANTY ATLAS · Maryland (MD)

Law last amended: 2020 (eff. 2020-05-08) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-02

Cites: Md. Code, Transp. § 15-212(c); Md. Code, Transp. § 15-212(b)(2)-(3); Md. Code, Transp. § 15-212(d); Md. Code, Transp. § 15-213

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 15-212(c)(1)(iii); rate at (c)(2)(i)
Mfr-backed service contract	**Not addressed**	-	§ 15-212(b)(3)(ii)
CPO warranty	**Not addressed**	-	§ 15-212(c)(1)(i)
Independent service contract	**Not addressed**	-	§ 15-212(c)(4)(v) (excluded from qualifying ROs only)

Hourly rate: Not less than 'the dealer's current labor rate for nonwarranty repairs of a like kind for retail customers', established by submitting whichever produces fewer ROs within 180 days: 100 qualifying sequential customer-paid ROs, or 90 days of qualifying ROs. Presumed accurate. The licensee must approve or rebut within 30 days; otherwise the rate takes effect on day 31. One submission per year. The licensee may verify effective rates annually and adjust prospectively.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. No written-grounds requirement stated. Failure to comply with a specific mfr requirement is not grounds for denial or reduction if the dealer presents documentation or other reasonable evidence that the repair and claim followed warranty guidelines ((c)(10)).…	Transp. § 15-212(c)(9)(i)-(iii)
Payment	30 days after approval. Dealer filing deadline: Silent.	
Chargebacks	9 months; fraud: The 9-month limit does not limit the right to audit any claim or to c.… Chargeback only of claims the mfr shows are false or unsubstantiated, within 9 months from payment or credit. Audits follow GAAP. No audit solely because the dealer requests retail-rate reimbursement ((c)(7)(v)). (c)(14) protections apply	Transp. § 15-212(c)(11)(i)
Rate resubmission	Not more than once in 1 year; a revision or supplement to correct or clarify is not a new submission. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Accessories, Discounted / promotional, Collision / body / glass, State inspections, Insurance-paid, Service-contract paid, Routine maintenance, Tires, Prep / reconditioning, Goodwill, Other (see text).	Transp. § 15-212(c)(3)(i)
Mfr response	30 days; no response = approved: Yes. Challenge: Rebuttal must consist of reasonable substantiating evidence that the declared rate is materially inaccurate. In any action, the issues are limited to material inaccuracy and the licensee bears the burden ((c)(6)(v), (vii)) Forum: MVA license action and Administrator orders (§ 15-212(b), (d)); civil.…	Transp. § 15-212(c)(6)(ii), (iv)
Penalties	Damages and reasonable attorneys' fees for financial injury from a subtitle violation, in any court of competent jurisdiction (§ 15-213) License refusal, suspension, revocation or nonrenewal for failing to comply with a written warranty agreement or to reasonably compensate for warranty work ((b)(2)-(3)). The Administrator may fine up…	Md. Code, Transp. §§ 15-212(b), (d); 15-213
Audit procedures	Audit climate score 38/100 (Elevated restrictiveness; chargeback limits 34/75 + process and oversight 4/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(Transp. § 15-212(c)(9)(i)-(iii)): "Approved or disapproved within 30 days of receipt. … A claim not approved or disapproved within 30 days of receipt shall be deemed approved. … Payment of or credit issued on a claim … shall be made within 30 days of approval."*
Chargebacks *(Transp. § 15-212(c)(11)(i)): "If a claim … is shown by the manufacturer or distributor to be false or unsubstantiated, the manufacturer or distributor may charge back the claim within 9 months from the date the claim was paid or credit issued."*
Rate *(Transp. § 15-212(c)(3)(i)): "whichever of the following produces fewer repair orders closed, as of the date of submission, within the preceding 180 days: 1. 100 qualifying sequential customer–paid repair orders; or 2. 90 days of qualifying customer–paid repair orders."*
Factory time *(§ 15-212(c)(1)(iii); rate at (c)(2)(i)): "A licensee shall specify in writing ... (iii) A time allowance for the performance of labor described in this paragraph that is reasonable and adequate."*

Notes

Warranty rules are in § 15-212(c); § 15-212.1 covers incentive and reimbursement programs, not warranty. Time allowances must be 'reasonable and adequate' ((c)(1)(iii)). The labor floor is the 'current labor rate for nonwarranty repairs of a like kind'; the statute gives a parts formula only, no labor arithmetic. Free parts earn the dealer's markup ((c)(5)). Anti-retaliation and uniformity rules are in (c)(7). (c)(1)-(7) do not apply to travel trailers or non-OEM motor-home living components ((c)(8)). The 9-month chargeback window is the shortest in this group, and audits themselves are not time-limited.

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